

4.4 COMPARING DIFFERENT FORMS OF OWNERSHIP

Multiple Choice Questions

1995/CE/II/23

Fanny and Estella are the only owners of a firm. They must obtain the other's consent before they can transfer their ownership to other people. Besides, their liability to the firm is confined to their individual investment in the firm. Based on this information, the firm is a

- A. (out of syllabus)
- B. general partnership.
- C. private limited company.
- D. public limited company.

1996/CE/II/17

Which of the following are the advantages of turning a sole-proprietorship into a private limited company?

- (1) greater flexibility in decision-making
 - (2) wider sources of capital
 - (3) higher incentive to work
 - (4) limited liability
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

1997/CE/II/19

Refer to the following information concerning Firm A and Firm B:

	Firm A	Firm B
Number of owners	6	7
Transfer of ownership	need the consent of other owners	need the consent of other owners
Legal status of the firm	legal entity	not a legal entity

The type of ownership of Firm A and Firm B is _____ and _____ respectively.

- A. public limited company private limited company
- B. private limited company partnership
- C. partnership private limited company
- D. public limited company partnership

1997/CE/II/58

Mr. Wai solely owns a restaurant in Tai Po and his wife runs the business for him. As compared to a public limited company, the type of ownership of the restaurant has the following advantages **EXCEPT**

- A. making prompt decision on management.
- B. paying profits tax at a lower tax rate.
- C. separation of ownership and management.
- D. not having to disclose the financial status to the public.

1998/CE/II/20

Study the following card issued by the ABC Cake Shop.

ABC Cake Shop
promises to give the holder of this card on demand
ONE DOZEN ASSORTED CAKES

The cake shop claims that it will keep the promise forever.

Now suppose the cake shop liquidates and cannot repay its debts to the cardholders. By law, the cake shop owner(s) need not keep the promise mentioned above it is a

- A. sole proprietorship.
- B. general partnership.
- C. (out of syllabus)
- D. limited company.

2002/CE/II/19

Amy is an owner of a firm. Her liability to the firm is confined to her investment in the firm and she can transfer her ownership to anyone else without the consent of other owners.

Based on the above information, the firm is a

- A. general partnership.
- B. (out of syllabus)
- C. private limited company.
- D. public limited company.

2005/CE/II/23

Study the following information about firm A and firm B.

	Firm A	Firm B
Number of owners	2	12
Transfer of ownership	freely transferable	needs the consent of other owners
Liability	limited	unlimited

According to the above information, Firm A is a _____ and Firm B is a _____.

- A. public limited company private limited company
- B. private limited company partnership
- C. partnership private limited company
- D. public limited company partnership

2006/CE/II/21

If the owners of a firm have the right to sue their firm but they cannot transfer their ownership freely without the consent of other owners, the firm is a

- A. general partnership.
- B. (out of syllabus)
- C. private limited company.
- D. public limited company.

2007/CE/II/20

Which of the following is a possible reason for turning a partnership into a private limited company?

- A. The owners will make more profit
- B. The owners will enjoy limited liability.
- C. It will ensure the financial privacy of the firm.
- D. Ownership of the firm can be transferred without the consent of other owners.

2008/CE/II/19

	Firm A	Firm B
Number of owners	3	12
Transfer of ownership	Needs the consent of other owners	Needs the consent of other owners
Legal status	Legal entity	Not a legal entity

According to the above information, which of the following descriptions of Firm A and Firm B in Hong Kong is correct?

- A. All owners of Firm A are legally bound by other owners' business decisions while those of Firm B are not.
- B. Firm A has to disclose its financial statement to the public while Firm B need not.
- C. Firm A is subject to a higher profits tax rate than Firm B.
- D. Firm A has a higher risk of being taken over by other firms than Firm B.

2012/DSE/I/08

	Firm A	Firm B
Number of owners	2	10
Transfer of ownership	Needs the consent of other owners	Needs the consent of other owners
Continuity	Continues to exist when one of the owners goes bankrupt	Will be dissolved when one of the owners goes bankrupt

According to the above table, which of the following descriptions of Firm A and Firm B is correct?

- A. Firm A is at a greater risk of being taken over by another firm than Firm B.
- B. Firm A is a legal entity while Firm B is not.
- C. Both firms are subject to the same profits tax rate.
- D. Firm A is required to disclose its financial status to the public while Firm B is not.

2017/DSE/I/05

Alan and his partners turned their partnership into a private limited company. After the change, the firm will

- A. have more capital for development.
- B. have a lower average production cost.
- C. enjoy a lower profits tax rate.
- D. have a separate legal entity.

2018/DSE/I/07

	Firm X	Firm Y
Number of owners	2	10
Transfer of ownership	the consent of other owners required	the consent of other owners NOT required
Disclosure of financial account to public	NOT required	required

According to the above table, which of the following descriptions of Firm X and Firm Y is correct?

- A. Firm Y earns a higher profit than Firm X.
- B. Firm Y raises more capital than Firm X.
- C. Owners of both firms enjoy limited liability.
- D. Firm Y is a legal entity while Firm X may not be.

2020/DSE/I/5

If a public limited company in Hong Kong gets listed on the stock exchange,

- A. it will face a higher profits tax rate.
- B. it can no longer keep its accounting information confidential.
- C. its shareholders will enjoy higher liquidity of their assets.
- D. it will enjoy economies of scale.

2023/DSE/I/08

Refer to the following information about Firm A and Firm B in Hong Kong.

	Firm A	Firm B
Number of owners	3	50
Issuing shares to the public	Impossible	Possible
Disclosure of financial information to the public	Not necessary	Necessary

Based on the above information, we can conclude that

- A. Firm B raises more capital than Firm A.
- B. owners of both firms are required to obtain consent from other owners when transferring their ownership.
- C. Firm A may enjoy a lower profits tax rate than Firm B.
- D. Firm B is an independent legal entity while Firm A is not.

2024/DSE/I/05

ABC Studio Limited is a video production company in Hong Kong. Its financial status is not required to be disclosed to the general public by law.

Which of the following statements about the company is correct?

- A. The admission of new shareholders does not require a consent from existing shareholders.
- B. The company can own assets under its name.
- C. The company may raise capital by issuing bonds to the general public.
- D. There is no upper limit on the number of shareholders.

2025/DSE/I/10

Mr Wong decides to invest in the bonds of a listed company instead of the shares of that company.

Which of the following is the **LEAST** likely reason behind Mr Wong's investment decision above?

- A. Mr Wong is optimistic about the business prospects of the company.
- B. Mr Wong prefers a more stable return from investment.
- C. Mr Wong wants to have a lower risk of suffering from a loss.
- D. Mr Wong wants to have a higher priority in getting back his investment in case the company liquidates.

2025/DSE/I/34

Study the following balance sheet of a banking system.

Assets (\$)		Liabilities (\$)	
Reserves	250	Deposits	1000
Loans	750		

Initially, the banking system has an excess reserve of \$50.

Suppose the public decides to reduce cash holdings by depositing \$100 cash into the banking system.

When the maximum deposit of the banking system is reached, which of the following will be its new balance sheet?

A.

Assets (\$)		Liabilities (\$)	
Reserves	300	Deposits	1200
Loans	900		

B.

Assets (\$)		Liabilities (\$)	
Reserves	350	Deposits	1400
Loans	1050		

C.

Assets (\$)		Liabilities (\$)	
Reserves	300	Deposits	1500
Loans	1200		

D.

Assets (\$)		Liabilities (\$)	
Reserves	350	Deposits	1750
Loans	1400		

Short & Structured Questions

1999/CE/I/10(b)

The government encourages people to start their own business. Suggest **TWO** advantages and **TWO** disadvantages to the owners of businesses in running a partnership over a private limited company. (3 marks)

2003/CE/I/3

John is running a firm with Peter. Since Peter has not been running the firm properly, both of them have had to sell their personal property to cover the firm's debts.

To what type of business ownership does the above firm belong? List **TWO** features of this type of business ownership. (3 marks)

2008/CE/I/4

A public limited company has limited liability while a partnership has not.

(a) What is meant by limited liability? (2 marks)

(b) Explain the difference between the above two types of ownership in terms of

(i) transfer of ownership.

(ii) source of raising capital.

(4 marks)

2024/DSE/II/1(a)

The table below shows the distribution of market share in the telecommunications industry in Hong Kong in 2023.

	Market Share
Hong Kong Telecommunications (stock code: 6823)	55%
Hong Kong Broadband Network	35%
Others	10%

(a) (i) Name the type of business ownership of Hong Kong Telecommunications. (1 mark)

(ii) Suppose Hong Kong Telecommunications plans to raise capital for expansion. From the viewpoint of the owners of the company, state **ONE** advantage and **ONE** disadvantage of issuing shares over bonds. (2 marks)

2024/DSE/II/11(e)

Ann is the owner of a coffee shop in Hong Kong.

(e) Ann has been operating her business in the form of a sole proprietorship. Give **TWO** economic reasons why she does not choose to change the form of business ownership of her coffee shop to a partnership. (2 marks)

2025/DSE/II/6

The following table shows the balance sheet of a banking system. Initially, all banks do not hold excess reserves and the public holds \$500 million cash.

Assets (\$ million)		Liabilities (\$ million)	
Reserves	1 000	Deposits	5 000
Loans	4 000		

- (a) Find the required reserve ratio. (1 mark)

Suppose the central bank sells \$200 million worth of government bonds to the public and the public continues to hold \$500 million cash.

- (b) Calculate the new monetary base. Show your workings. (2 marks)
- (c) Calculate the change in money supply after the process of credit creation / contraction has been completed. Show your workings. (3 marks)